Clause 14 that Tibet would continue to have trade relations with neighbouring countries, without paying attention to the qualifying stipulation in both clauses that this would be under the overall direction and control of Beijing. The Indian side also overlooked the direct implications for India from a key stated objective in the very first clause of the Agreement, namely the elimination of 'imperialist aggressive forces' from Tibet.

The only 'imperialist' force present inside Tibet was India, and the Chinese media had referred to this on several occasions. India's failure to recognize this point meant that it did not conduct a fresh review of policy towards Tibet and China, in order to prepare for the possibility that China would bring up the issue of Indian presence in Tibet. Instead, two other presumptions appear to have been made. First, from Zhou's reassurance to Panikkar in very general terms about safeguarding India's interests in Tibet in March 1951 and the 17-Point Agreement of May 1951, India may have believed that the Chinese had achieved their objective and were not likely to question the frontier or India's special position in Tibet. Second, with the 17-Point Agreement in place, India may have thought there would no longer be good reason for the PLA to push further into Tibet or to be deployed along the India–Tibet frontier.

The presumptions were erroneous, but policy also dictated that Indian representatives should not unilaterally raise such issues with the Chinese side. Thus the possibility of getting some insight into the Chinese thinking on this matter or probing them on matters of India's concerns was also ruled out. In the several high-level interactions that Ambassador Panikkar had with the Chinese leaders in 1951, the subject of Tibet was never raised. On 20 November 1951, Nehru would inform the Indian Parliament that India's maps show that the McMahon Line is its boundary and it would remain so, map or no map. [21]